

Subject Description Form

Subject Code	AF2111
Subject Title	Accounting for Decision Making
Credit Value	3
Level	2
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Exclusions: Financial Accounting (AF2108) Management Accounting 1 (AF2110)
Role and Purposes	This subject contributes in providing students <u>with a framework to understand the accounting process in organizations</u> . It also introduces to students the <u>tools to understand and interpret financial information</u> . Students should be capable of <u>making informed decisions</u> , including but not limited <u>ethical decision making</u> .
Subject Learning Outcomes	Upon completion of the subject, students will be able to: a. Describe the role and importance of management and financial accounting information in decision-making in a business environment. b. Identify assumptions, principles and conventions underlying financial reports as well as the potential ethical issues in organizations. c. Interpret and analyze financial reports d. Use cost and management accounting information in business decision-making.
Subject Synopsis/ Indicative Syllabus	Framework of Financial Reporting Information needs of capital markets, basic financial statements, accounting cycle: capturing economics events; accruals and deferrals; reporting financial results and roles of an auditor. Preparation of Financial Statements Income Statement Retained Earnings Statement Balance Sheet Statement of Cash flows Analysis and Interpretation of Financial Statements Financial ratios, financial statement analysis and measuring business performance. Internal control and corporate governance Ethical decision making and corporate governance. Costing Principles and Operations Management issues Manufacturing costs, product costs and period costs. Enterprise Resources Planning and other developments in operations management. Activity based costing with multiple activity cost pools and cost drivers relevant to each cost pool.

	Cost-Volume-Profit (CVP) Analysis Variable and fixed costs, contribution margin & breakeven analysis Incremental Analysis and Capital Budgeting Incremental analysis in make/ buy or stop/ process further and various decisions. The concept of present value and capital expenditure decision making					
Teaching/Learning Methodology	A two hour mass lecture will be conducted each week to initiate students into the ideas, concepts and techniques of the topics in the syllabus, which is then reinforced by a one hour tutorial designed to consolidate and develop students’ knowledge through discussion and practical problem solving.					
Assessment Methods in Alignment with Intended Learning Outcomes						
	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)			
			a	b	c	d
	Continuous Assessment	50%				
	1. Attendance	5%	✓	✓	✓	✓
	2. Analytical Writing Assessment	15%		✓	✓	
	3. Mid-term Exam	30%	✓	✓	✓	✓
	Final Examination	50%	✓	✓	✓	✓
	Total	100%				
	To pass this subject, students are required to obtain Grade D or above.					
Student Study Effort Required	Class contact:					
	▪ Lectures			26 Hrs.		
	▪ Tutorials			13 Hrs.		
	Other student study effort:					
	▪ Studying textbook & other material ▪ Preparation of lecture & tutorial			39 Hrs.		
	▪ Working on assignments and projects			39 Hrs.		
	Total student study effort			117 Hrs.		
Reading List and References	Kimmel, Weygandt and Kieso, <i>Accounting: Tools for Business Decision Making, latest Edition</i>					

	Weygandt, J & et al, 2012, <i>Accounting Principles</i>, 10th Edition, John Wiley & Sons, (Asia) Pte Ltd. Larson & Chiapetta, 2013, <i>Fundamental Accounting Principles</i>, McGraw-Hill Irwin. Marshall, McManus & Viele, 2014, <i>Accounting - What the Numbers Mean</i>, McGraw-Hill Irwin. Dyson, J. R. 2010. <i>Accounting for Non-Accounting Students</i>, Financial Times Prentice Hall.
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